

AD/AX retrace. For the last turn of the bat, I don't use the high–low range. Rather, the number must be within .03 of the target .886 value (using the low at D only). So we get $(12.90 - 10.19)/(12.90 - 9.76)$ or .86, which is within .03 of the .886 target. This pattern qualifies as a valid bullish bat, but your software may use a different algorithm and find a different result.

Volume. The bullish bat doesn't have a volume requirement. Rather, you'll see volume recede from point X to D (the width of the pattern) most of the time. I'll discuss volume in the Statistics section. Point F in the figure shows a downward volume trend.

Duration. There are no rules limiting the width of the pattern, but I limited them to six months.

Focus on Failures

[Figure 5.3](#) shows a bullish bat that fails to be bullish. I show the five turns at XABCD. It's a valid bullish bat even though it looks weird. Price at D should see the stock turn higher, but it doesn't. It *does* form a minor low, but that doesn't translate into any meaningful rebound in the stock.

Instead of turning upward at D, the stock continues lower, breaking out downward at E. Price continuing lower at D (instead of turning upward) is the first type of failure.

The second type of failure is when price *does* turn upward at D, but doesn't climb far. I consider a move no more than 5% to be a failure. [Figure 5.3](#) shows this type of failure, too, because price climbs just 3% after D.

Five percent failures only happen about 10% of the time, so they are a concern, but not a huge one.

Let's talk about statistics next.